After Equilibrium: Expectation Mismatch and the Roots of Anti-globalization Politics

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Abstract

Why has free trade become harder to sustain in its maturity than in its rise? I argue that the cause is top-down, and that support for trade openness rests on a promise that trade would reward one's national strength. This strength, or comparative advantage, however, is a conditional claim about where liberalization settles, not whether that settlement endures. As globalization matures, foreign upgrading, technology diffusion, and state-backed distortions can all erode incumbent advantage, producing an expectation mismatch: trade no longer reads as a bargain that legitimizes openness and adjustment costs, and policymakers, even without constituent pressure, begin to reinterpret it as unfair, real deindustrialization, and politically unsustainable. I test this theory in the context of U.S. trade politics, with evidence from the 2018 Section 301 action, the unprecedented trade policy reversal since WWII, supported by temporal evidence of congressional speeches (1981-2024) and the cases of U.S.-Japan and U.S.-China trade conflicts. The findings show that protection concentrating in incumbent advantage sectors facing imminent competitive threat, broadening as the threat turns systemic. Contemporary anti-globalization is not the politics of displaced losers, but of *threatened winners*, eroding the political sustainability of the free-trade bargain.

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1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Over the past decade, skepticism toward trade openness has intensified across countries and, in the United States, spread across party lines: Republicans who once defended liberalization now support tariffs and industrial policy, while Democrats who once focused on the costs of adjustment increasingly converge on the same instruments. The European Union has imposed tariffs on Chinese electric vehicles,[1] while Mexico has raised duties to protect varied industries its development relied on.[2] This is puzzling because, if backlash followed the losses liberalization imposes, opposition should be strongest when liberalization relentlessly displaced vulnerable sectors and their workers, not decades after they were gone.

Existing accounts explain trade politics without addressing this question. Research on exposure to import competition identifies who is harmed and traces the electoral consequences (Autor et al. 2020; Colantone and Stanig 2018; Broz et al. 2021). Work on trade attitudes explains who supports openness (Hiscox 2002; Hainmueller and Hiscox 2006; Mayda and Rodrik 2005; Scheve and Slaughter 2001). Neither explains the timing, since the broad turn arrived long after the impact those studies measure, nor the agency, since recent restrictions were driven top-down by policymakers rather than affected constituents. Accounts of elite cueing explain how trade skepticism spreads (Ballard-Rosa et al. 2024; Guisinger 2017), but not why elites revised their own position. Security accounts explain why states restrict particular chokepoints (Carnegie and Gaikwad 2022; Farrell and Newman 2019), which is nonetheless compatible with continued trade commitment. What remains unclear is the change of position among the actors who once defended free trade.

The paper shifts the analytical focus from local constituencies (e.g., displaced workers, supply-chain managers) to *elites* who directly drive national trade policy. I argue that trade backlash intensifies not because of loss alone, but when globalization appears to threaten the

[1] European Commission, 2024

[2] Government of Mexico, 2023.

promise that had justified the political bargain that made free trade acceptable in the first place. This promise is that trade would reward the sectors a country expects to win in. The promise rests on comparative advantage – the relative strength in producing something – which has long anchored both trade theory and the political case for economic integration and openness (Baldwin 2016; Costinot et al. 2015; Samuelson 2004). Conventional trade-politics theories are strongest at explaining the politics of initial liberalization: moving from autarky to trade equilibrium, which I call *before equilibrium*. In that setting, even trade distortions by others are often politically inert within a logic of "managed transition," because the losing sectors are widely understood to be economically inefficient. Trade had been defended on the promise that advantage sectors would expand, export, and sustain national prosperity; the contraction of disadvantage sectors was accepted as its price.

Comparative advantage, however, is not fixed and can erode. The promise of comparative advantage is a claim about where trade settles, not a guarantee that the settlement endures. I analytically distinguish *after equilibrium*: the period after the initial distributive reallocation of liberalization. Technological diffusion, external shocks, and state-backed policy choices can all move trading partners into sectors long perceived as national advantage. Because comparative advantage is also a political expectation beyond an efficiency theorem, at that point, distortions no longer appear as tolerable adjustments; they are evidence that the bargain itself is failing – a state now risks genuine deindustrialization. Trade compensation that would otherwise make trade work becomes hard to sustain. The resulting gap between what was promised and what states now face is an *expectation mismatch* (Kahneman and Tversky 1979; Tversky and Kahneman 1991). When that gap opens, policymakers instead reinterpret free trade as one promise that has failed, or, as former National Security Advisor Jake Sullivan put it (Sullivan 2023):

> "*America's industrial base had been hollowed out . . . The postulate that deep trade liberalization would help America export goods, not jobs and capacity, was a promise made but not kept.*"

Top policymakers such as Sullivan are largely insulated from constituency-based protectionist pressures and concerns over disadvantaged sectors. Backlash, reconstructed in a bipartisan way, is the politics of threatened winners actively perceived by elites rather than displaced losers. With the belief in free trade faded, the subsequent policy reaction can be unpredictable – outright protection justified through electoral, geopolitical, or industry-support rhetoric – rather than the once-common managed transition.

The argument yields two predictions. Contemporary protection should concentrate in sectors that combine durable comparative advantage with a competitor's revealed intention to erode them, not in the sectors trade theory already expected to contract. The scope of the threat should also govern the type of the response. A bounded threat leaves the rest of the advantage sectors still confirming the promise, so a government can contain its response to targeted protection. A systemic threat leaves no unaffected part of the promise still holding, so the response generalizes into a broader, more bipartisan turn against free trade.

I test the argument on the United States across three bodies of evidence. The U.S. has been the leader of the global trade regime since WWII. Until the early 2010s, mainstream policy and scholarly debates on trade remained largely focused on disadvantaged sectors and labor-market adjustment (Autor et al. 2013), shortly before China's ambitious push (e.g., "Made-in-China 2025") into advanced industries began to alarm Washington. The main test is the sector-level analysis of the 2018 Section 301 tariffs, the unprecedented reversal in postwar American trade policy (Fajgelbaum et al. 2020), which tests which products a government selects for protection rather than managed transition. Exploiting the first two rounds of tariffs on over 4,100 HS-6 level sectors strongly supports the argument with considerable effect magnitude: targeting was 33 percentage points more likely in broad sectors central to U.S. industrial advantage that China had publicly identified for entry. Within those sectors, furthermore, targeting was 38% more likely for sectors in which the United States retained a durable comparative advantage. The results are robust to different identification strategies, measures of key variables, and competing explanations (e.g., sectoral competitiveness, partisan politics, supply-chain fragmentation).

I substantiate the main finding with temporal evidence and process tracing. First, text analysis of the congressional record (1981-2024) reveals what policymakers said their concerns were over time, and shows the stated basis of elite trade positions shifting from technocratic discussions of efficiency and adjustment toward the narratives of deindustrialization, unfairness, and national decline across both parties. Second, the case studies of U.S.-Japan and U.S.-China trade conflict episodes support the mechanism in specific sectors, and trace how the scope of perceived threat, whether sectoral or systemic, shapes the form of the response. Together, these analyses show that the politics of trade are not governed simply by who loses from initial liberalization; they are ultimately determined by whether globalization continues to reward what originally justified free trade.

The paper makes three contributions. First, it builds on the fact that trade gains (through comparative advantage) are conditional. After equilibrium is the theoretical period that existing trade-politics theories neglect, in which a country losing its own advantage sectors becomes politically visible. The resulting expectation mismatch especially exacerbates backlash (Kőszegi and Rabin 2006; Tversky and Kahneman 1991), driven by threatened winners rather than displaced losers. Second, it shows how elite trade positions are endogenous to structural change in the world economy, which complements accounts in which elites passively receive constituent pressure or simply transmit positions as given responses to openness exposure. Lastly, it specifies when backlash stays contained rather than becomes a general turn against free trade: a bounded threat leaves the rest of the promise intact, while a threat reaching many advantage sectors at once does not.

The mechanism is not confined to advanced economies: Mexico has raised tariffs on products from textiles to automobiles, and Indonesia has extended safeguard duties on textiles and footwear, where free trade had promised not only comparative advantage but a path to upgrade beyond it.[3] The argument may reach beyond trade politics. Policy regimes that

[3]Indonesia Ministry of Finance, 2024

impose distributive present costs for diffuse future gains, from pension systems to NATO's mutual-defense guarantee, are sustained by a similar promise. They are weakened not by expected costs, but by an unrealized promise. Where that is the mechanism, compensation cannot repair the damage from a disappointed forecast.

2 A Theory of Expectation Mismatch

What existing accounts leave unexplained

The politics of trade has well-developed accounts of who opposes openness and why. At the individual level, support tracks skill and factor endowments (Mayda and Rodrik 2005; Scheve and Slaughter 2001), education (Hainmueller and Hiscox 2006), and consumption (Baker 2005). Sociotropic accounts maintain that attitudes follow judgments about the national economy more closely than personal circumstances (Mansfield and Mutz 2009). At the aggregate level, import competition harmed employment in exposed regions and shifted local politics toward the extremes (Autor et al. 2020; Broz et al. 2021; Colantone and Stanig 2018).

The contemporary anti-free trade turn falls outside these accounts. The first is timing. Conventional trade-politics theories are strongest when explaining the politics of initial liberalization; opposition should be strongest when displacement occurs. Yet, the broad anti-free trade turn arrived much later, after shocks had plateaued. The second is agency. Recent restrictions were initiated more by policymakers than from constituent complaints or industry petitioning.

Two further strands of literature bear on the question without settling it. Work on elite cues shows that mass opinion responds to elite and media framing (Ballard-Rosa et al. 2024; Guisinger 2017). Yet the revision is what requires explanation. Work on economic security and strategic competition explains why states restrict particular sectors (Carnegie and Gaikwad 2022; Farrell and Newman 2019). A government may block the export or import of a sensitive product while continuing to hold that trade can serve its interests (Grinberg 2021). They, therefore, do not account for the weakening of a general commitment to free trade.

Neglected assumption, unmet promise

At its core, comparative advantage is the canonical answer to why nations trade (Costinot et al. 2015). Ricardo first stated it as a case for open trade between England and Portugal (Ricardo 1817): trade raises welfare through specialization in low-opportunity-cost goods and exchange for imports. Within economics, the concept is close to unquestioned: it has been called the "deepest and most beautiful result in the field" (Findlay 1987), an "unassailable intellectual cornerstone" (Harrigan 2003), and the "one proposition in social science that is both true and non-trivial" (Samuelson 1972). Even if trade has evolved, this original principles still apply (Krugman and Obstfeld 2009).[4]

The reasoning became the *promise* of free trade on which liberalization was publicly defended: contraction in disadvantage sectors is worth accepting because openness would reward advantage sectors. Indeed, it has been at the heart of support for globalization (Baldwin 2016). From postwar liberalization through the World Trade Organization (WTO), this reasoning has deeply influenced liberalization policy and pro-trade sentiment among elites (Congressional Research Service 2021; Samuelson 1972; Williamson 1990). The 1998 "Economic Report of President Clinton" described American comparative advantage in skill-intensive sectors well positioned to gain from trade liberalization and drive innovation and production, with "good" jobs in exporting sectors offsetting inefficient plants (Council of Economic Advisers 1998). The case for China's WTO accession largely rested on the same rationale: Chinese purchases of American advantage products were the gains justifying import competition (Office of the United States Trade Representative 2000). The later U.S.-Japan trade conflict

[4]Comparative advantage is not confined to sector-level models. It appears across later trade theories as advantage under increasing returns (Helpman and Krugman 1985), across heterogeneous firms (Melitz 2003), and at the level of tasks along fragmented supply chains (Grossman and Rossi-Hansberg 2008).

shows more clearly how policymakers' sectoral concerns track the comparative-advantage logic.

Existing theories, however, rarely supply what the paper's political case requires: how long that pattern lasts. The long-run effect of trade openness is itself debated (Garrett 2000; Krugman 1987; Lawrence and Weinstein 1999; Rodríguez and Rodrik 1999), with the predicted settlement depending on assumptions of adjustment mechanisms that often do not hold, such as trade balances and little friction. Comparative advantage can be endogenously altered, not only exogenously given: scale economies, directed policy choices, external shocks, or shifts in endowments can all move a country's advantage away from what its underlying conditions would imply (Krugman 1987; Rodríguez and Rodrik 1999) — the key underlying logic of the paper's argument.

As such, two phases of trade liberalization should be analytically distinguished. *Before equilibrium*, or early integration, is the phase in which an economy moves from relative autarky toward the equilibrium, a phase that a classical trade model describes theoretically. In trade theory, adjustment disproportionately displaces disadvantage sectors, often an empirically dominant pattern. Trade appears complementary because it is behaving as the promise described, contraction of disadvantage sectors is seen as the means of gain, and the political response is usually "managed transition" such as trade adjustment assistance (TAA) or targeted anti-dumping in vulnerable sectors at worst. Trade distortions can exist, but it is politically inert because they appear to be speeding up a shift the promise endorsed. Empirically, this describes the first two decades after 1945 and the first decade after China's WTO entry, in both of which the United States primarily lost disadvantage sectors and elites supported trade expansion. As President George W. Bush remarked, "the greatest engine of prosperity the world has ever known [is] free trade" (Bush 2008).

After equilibrium, in contrast, names the period in which the initial reallocation of liberalization is presumed to be consolidated, while competitive pressures continue to reshape incumbent sectoral advantage. Classical trade(-politics) models of static equilibrium say little about this period, because they concern which sectors a country ends up specializing in rather than how long that specialization survives.[5] Distortions that went unremarked in the first phase can become politically conspicuous once incumbent advantage sectors face erosion, as they did in the ongoing "second China shock." Distortions are not new; what changes is their legibility.

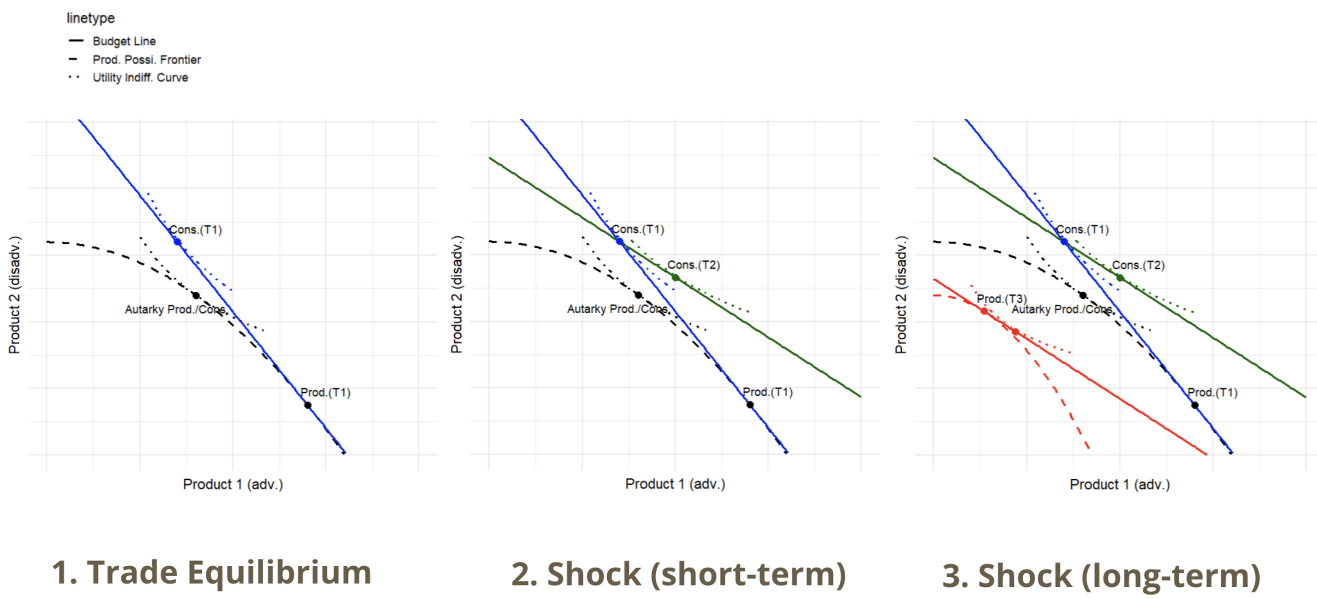

Figure 1: Illustration: Utility Change When Advantage Sectors Lose Out. *Note*: see Appendix A for formalization.

Losing advantage sectors is economically costly. Technical progress by a partner in goods where the home country held comparative advantage can permanently reduce home real income (Samuelson 2004). Krugman (1987) shows that a shock that displaces a country's specialization reduces long-run welfare. Baldwin (2016) argues that production unbundling after 1990 shifted national advantage through the reorganization of global value chains. Figure 1 illustrates that losing advantage sectors completely nullifies trade gains by lowering a country's production levels (see Appendix A for formalization). These results suggest that continued losses in advantage sectors, without comparable new advantages created, make

[5] Even the dynamic comparative advantage literature (e.g., Krugman (1987)) is implicit about the period, with no role for policy intervention or political effects.

trade not efficiency-enhancing but self-defeating.

Expectation mismatch

What these studies do not address is political: how the unmet promise destabilizes a policy regime, changes beliefs, and affects the instruments governments choose. The bipartisan turn away from liberal trade orthodoxy reflects an expectation mismatch: policymakers had expected openness and comparative advantage to preserve American prosperity and technological leadership, but increasingly interpreted the erosion of domestic capacity and advantage as evidence that the promise had failed.

Table 1: Cross-Partisan Convergence on Elites' Trade Attitudes

Role	**Democratic**	**Republican**
Trade	**Katherine Tai**, USTR: "*When efficiency and low cost are the only motivators [in trade], production moves outside our borders.*" (Tai 2023)	**Robert Lighthizer**, USTR: "*Policymakers, business leaders, economists... need to abandon the dogma of trade from 18th-century philosophers...*" (Lighthizer 2021)
Foreign	**Jake Sullivan**, National Security Advisor: "*In the name of oversimplified market efficiency, entire supply chains—along with the industries and jobs that made them—moved overseas... The traditional model doesn't cut it.*" (Sullivan 2023)	**Marco Rubio**, Secretary of State/National Security Advisor: "*An almost religious commitment to free and unfettered trade at the expense of our national economy... collapsed industrial capacity.*" (Rubio 2025)
Commerce	**Gina Raimondo**, Sec. of Commerce: "*Ensure unfair trade practices do not threaten our competitiveness... trade policy that will help protect key U.S. industries*" (Raimondo 2024)	**Howard Lutnick**, Sec. of Commerce: "*that the old globalist line of thinking has been a disaster for America*" (Lutnick 2026)
Treasury	**Janet Yellen**, Sec. of Treasury: "*Friendshoring is our approach to advancing trade that is free and fair*" (Yellen 2022)	**Scott Bessent**, Sec. of Treasury: "*[in trade] low prices would compensate for lost capacity... those assumptions failed to materialize.*" (Bessent 2026)

Table 1 presents this convergence in the recent statements of senior officials responsible for trade, industrial, and national-security policy across the Trump and Biden administrations. Despite their partisan differences, these officials increasingly portray the postwar trade model as falling short of prior expectations, particularly by eroding U.S. productive capacity and weakening core industries. These top leaders may not explicitly spell out "comparative advantage," but at minimum, they were relatively unpressed by local constituents and were little worried about losing disadvantage sectors. Even among traditionally labor-oriented Democrats, senior policymakers increasingly emphasize the protection of key U.S. industries and critical supply chains. This diagnosis differs from the earlier emphasis on import competition harming disadvantaged sectors or technical adjustments. The convergence across parties and policy domains points to an unprecedented shift in elite beliefs about trade openness.

Expectation mismatch due to the unmet promise makes it politically distinctive. First, it concerns the reference point against which outcomes are judged. Outcomes are evaluated relative to an expected path rather than in absolute terms (Alesina and Passarelli 2019; Kahneman and Tversky 1979; Tversky and Kahneman 1991). In the influential theory of reference-dependent preferences, actors weigh losses relative to expectations more heavily than equivalent gains above expectations (Kőszegi and Rabin 2006). A disadvantage sector is expected to contract under liberalization, so its decline largely conforms to the baseline expectation. When an advantageous sector expected to expand instead falls short, the expectation mismatch is perceived as a loss. Apparel contracted sharply after 2001 and drew adjustment assistance, while Chinese entry into semiconductors and automobiles after 2010 produced a national reaction. Existing applications of this idea use a sector's own past as the baseline, predicting protection for industries already in decline (Baldwin and Robert-Nicoud 2007; Freund and Özden 2008; Tovar 2009). The two accounts thus make opposite predictions.

Moreover, expectation mismatch governs the *intensity* of the reaction following the reappraisal of the sunk losses. Leaders accept costly institutional commitments only so long as the institution is expected to deliver benefits that justified joining in the first place (Keohane 1984; Koremenos et al. 2001). When advantage sectors are subsequently threatened, the expectation fails. Simple loss in advantage sectors cannot produce this effect, because reinterpretation is conditional on future gains. This is what gives the reaction its moral charge — the path to the rhetoric of unfairness, not mere disappointment. Permanent normal trade relations with China were defended on the grounds that they would benefit American advantaged sectors, and import competition in labor-intensive goods was presented as the precondition for obtaining that access. The congressional record after 2010 fits the pattern, with legislators increasingly complaining that trade relations with China failed to create jobs.

Lastly, expectation mismatch relates to the *scope* and *durability* of the reaction by removing the basis for accepting future losses. Support for free trade was a commitment to a promise about what liberalization would deliver; a failure discredits the reasoning that produced it. Policymakers can therefore no longer appeal to the promise when defending further openness, and what is damaged is the authority of the promise to guide subsequent policy. That accounts for the escalation from sectoral disputes spreading to deals that may be irrelevant to the original promise. The Trump administration's TPP withdrawal, with its tariffs retained in full by the successor from the opposite party, is what a discredited promise produces and what a partisan or constituent grievance does not.

Theoretical predictions

Because perceived threat to advantage sectors by policymakers removes what made the adjustment costs defensible, the political response may therefore exceed the measured damage in these sectors or even precede it. Distributional pressure runs the other way: felt locally and reaching national politics through representation.

The scale of backlash should follow the scope of the threat. A bounded threat can leave the promise intact for the rest of the economy, so policymakers can defend the sectors under pressure while still holding that openness rewards the national economy. The instruments are targeted protection, managed trade, and sectoral agreements. A systemic threat covering a wide range of advantage sectors rules out that reconciliation.

Additionally, perceived threat should not produce generalized backlash where new advantage sectors are visibly emerging, since the promise is dynamic and being kept elsewhere; where the state lacks instruments to respond (e.g., economic dependence on the competitor); or where the sector is peripheral to its economy. This condition may answer a question sociotropic accounts leave open, which is why some sectoral declines register nationally and others do not. Passenger rail and shipbuilding declined without political controversy, while erosion in automobiles and semiconductor design draws broad concern. Overall, I derive the following two hypotheses:

H1 (threatened winner): when a government proactively responds to competitive pressure rather than being driven by constituency pressure, it tends to concentrate in comparative advantage sectors under perceived threat.

By contrast, managed-transition instruments show the opposite prediction, since adjustment assistance and injury-based duties are usually triggered by demonstrated harm to disadvantage sectors during the liberalization period.

H2 (threat scope): A bounded threat produces targeted protection, whereas a systemic threat covering a wide range of advantage sectors produces broad protection and a general turn against free trade.

3 Research Design

I test the argument in the United States for three reasons. The U.S. has exhibited a clear bipartisan and temporal reversal in elite trade attitudes and trade policy. It is also the case in which the theory should be harder to sustain, since the United States is the architect of the postwar trade regime and the least likely of its members to abandon the reasoning behind it. Finally, it offers a variation of the threat scope the argument requires: the U.S.-Japan conflict of the 1980s and the U.S.-China conflict of the 2010s and 2020s are both episodes in which advantage sectors came under pressure, with differences in threat scope.

Three bodies of tests follow. The product-level analysis of the 2018 Section 301 action, the sharpest reversal in postwar American trade policy (Fajgelbaum et al. 2020), is the main test for *H1* directly. The congressional record from 1981 to 2024 provides descriptive evidence of the revealed basis of elite trade positions. It shows what policymakers said the problem was and whether that account changed, providing support for the central claim. Finally, the case studies of U.S.-Japan and U.S.-China trade conflict episodes provide evidence for *H2*, which concerns the scope of threat.

Data and sample

The timing of the U.S. policy shift is revealing. As late as the early 2010s, both scholarly and policy debates centered largely on the adjustment costs borne by import-competing disadvantage sectors (Acemoglu et al. 2016; Autor et al. 2013). By the middle of the decade, however, Washington's concern across both the Obama and Trump administrations had increasingly shifted toward Chinese industrial policies, IP theft, and entry barriers targeting U.S. advanced sectors (USTR 2015; USTR 2018a). The policy problem was shifting from the old bargain (free trade and compensation) to whether globalization may continue generating the gains for American winners.

Unlike adjustment assistance and antidumping duties, which respond to constituency pressure from demonstrated injury in import-competing sectors, the 2018 Section 301 action represents a clean test of strategic product selection. It was not only the beginning of systemic anti-free trade measures from the United States subsequently retained by the Biden administration, but also a top-down process rather than by constituency pressure, justified by foreign industrial ambitions that "put the future of the U.S. economy at risk" and "forced transfer of U.S. technology and intellectual property."[6] In particular, List 1 (announced July 6, 2018, $34 billion) and List 2 (announced August 23, 2018, $16 billion) were assembled by

[6] "Statement By U.S. Trade Representative Robert Lighthizer on Section 301 Action", USTR, July 10, 2018.

an interagency committee anchored to the 2018 Section 301 investigation report, working downward from MIC2025 sector categories to individual HTS-8 tariff lines. Although the USTR opened an exclusion process shortly after, it was not for import-competition firms seeking protection; most such requests were denied solely based on the USTR's discretion.[7] The following Lists 3 and 4 ($200 and $300 billion respectively), by contrast, expanded coverage sharply in response to a broader tit-for-tat retaliation escalation and generated more than 50,000 exclusion requests. They only serve as placebo checks.

The analysis proceeds at the six-digit Harmonized System (HS-6) sectors, the finest classification at which consistent bilateral trade data are available. The sample is narrowed down to manufacturing HS chapters 28 through 96, excluding agriculture (chapters 01-24), mineral fuels (chapter 27), and other primary commodities, which are governed by distinct political economy logics. Trade-flow data come from the BACI trade database (Gaulier and Zignago 2010), which reconciles reported import and export values into a symmetric matrix at the HS-6 level for more than 200 countries annually from 1995 through 2022 for constructing the Balassa index later. All trade values are in thousands of current US dollars.

The period for measuring comparative advantage spans 2001 to 2007, the years between China's WTO accession and the onset of the global financial crisis, the window in which the first China shock in US manufacturing was most acute, serving as a stress test (Autor et al. 2013; Pierce and Schott 2016). Sectors that collapsed before 2007 are revealed as genuinely disadvantage sectors (e.g., textiles, furniture) that never formed the durable expectation the theory requires. I restrict the sample to sectors with non-missing pre-period BACI coverage and a valid concordance to the tariff lists.

[7]Moreover, exclusion is limited to 10-digit HTS subheading and does not remove the parent 8-digit HTS heading, my unit of analysis of the original USTR targets (USTR 2019). The USTR evaluates exclusion requests case by case, considering: (1) availability from non-Chinese sources, (2) importer attempts to source the product from outside of China, (3) severe economic harm to the importer or other U.S. interests, and (4) the strategic importance to "MIC2025" or other Chinese industrial programs (Congressional Research Service 2020).

Dependent variable

The dependent variable, $Targeted_k$, is a binary indicator equal to one if HS-6 product k was included on Section 301 Lists 1 and 2, and zero otherwise. List content is drawn from the USTR Federal Register notices, which enumerate targeted products at the 8-digit HTS level. Within manufacturing, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected, suggesting the targeting reflects deliberate, product-specific judgments rather than blunt sectoral protection. I map each HTS-8 code to its first six digits and construct a concordance from the HS-2017 revision to the HS-1992 revision used by BACI.[8]

For supplementary analysis, I disaggregate the combined indicator into List-1-specific and List-2-specific dependent variables. Since the lists overlap partly, I restrict the List-1 estimation sample to products not exclusively on List 2, and vice versa, so that products targeted by the other are not misclassified as untargeted controls.

Key independent variables

The central explanatory variable, $StableCA_k$ captures whether product k represented a sector of durable US comparative advantage after the 2001-2007 trade shock. I operationalize comparative advantage based on the revealed comparative advantage (RCA) index (Balassa 1965):

$$\mathrm{RCA}_{k,t} = \frac{X_{\mathrm{US},k,t} \;/\; X_{\mathrm{US},t}}{X_{W,k,t} \;/\; X_{W,t}}, \tag{1}$$

where $X_{\mathrm{US},k,t}$ denotes total US exports of product k in year t, $X_{\mathrm{US},t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product k, and $X_{W,t}$ total world manufacturing exports.[9] RCA values above one indicate that the US exports product k at a higher share of its total export portfolio than the world average, the conventional threshold for revealed comparative

[8] USTR 2018 HTS codes are in HS-2017 space.

[9] I use gross trade flows because the theory is about political salience and observability; policymakers see gross export volumes rather than value-added-adjusted trade. Nonetheless, I add robustness checks for this.

advantage in international economics (Balassa 1965; Leromain and Orefice 2014).[10]

I compute U.S. annual $\text{RCA}_{k,t}$ for each HS-6 product over 2001-2007 using the full BACI bilateral trade matrix, summing across all trading partners for both US and world aggregates. Then I create a measure StableCA_k, which is coded one if the mean Balassa RCA over 2001-2007 exceeds one and where the within-period change, $RCA_{2007} - RCA_{2001}$, is no less than -0.10:

$$\text{StableCA}_k = \mathbf{1}\left[\frac{1}{7}\sum_{t=2001}^{2007} \text{RCA}_{k,t} > 1 \quad \text{and} \quad \text{RCA}_{k,2007} - \text{RCA}_{k,2001} \geq -0.1\right], \qquad (2)$$

(2) presumes that real advantage sectors were those that withstood "China shock 1.0" as a stress test. This measure is used because a sector is unlikely to hold a durable advantage if its RCA averages below one during the shock, or drops sharply even when it still remains above one. Although policymakers are unlikely to calculate a Balassa index, the measure is best understood to proxy their underlying sense of U.S. industrial strengths: the USTR, tasked with formulating trade policy, routinely tracks which sectors are holding or losing ground, and can reasonably be assumed to distinguish advantaged sectors from the rest. As a robustness check, the measure is replicated over 2001-2016 (in case an advantage naturally evolves into a disadvantage as economic structure changes, and is no longer perceived as advantaged) or using coarser HS-4 sectors, and the main results are robust to erosion thresholds of -0.05 and -0.20. Figure 2 visualizes changes in sectoral RCA at the HS 3-digit level (by aggregating HS-4 categories).

[10] I also use RSCA (Revealed Symmetric Comparative Advantage, Laursen) and NRCA (Normalized Revealed Comparative Advantage) as robustness checks.

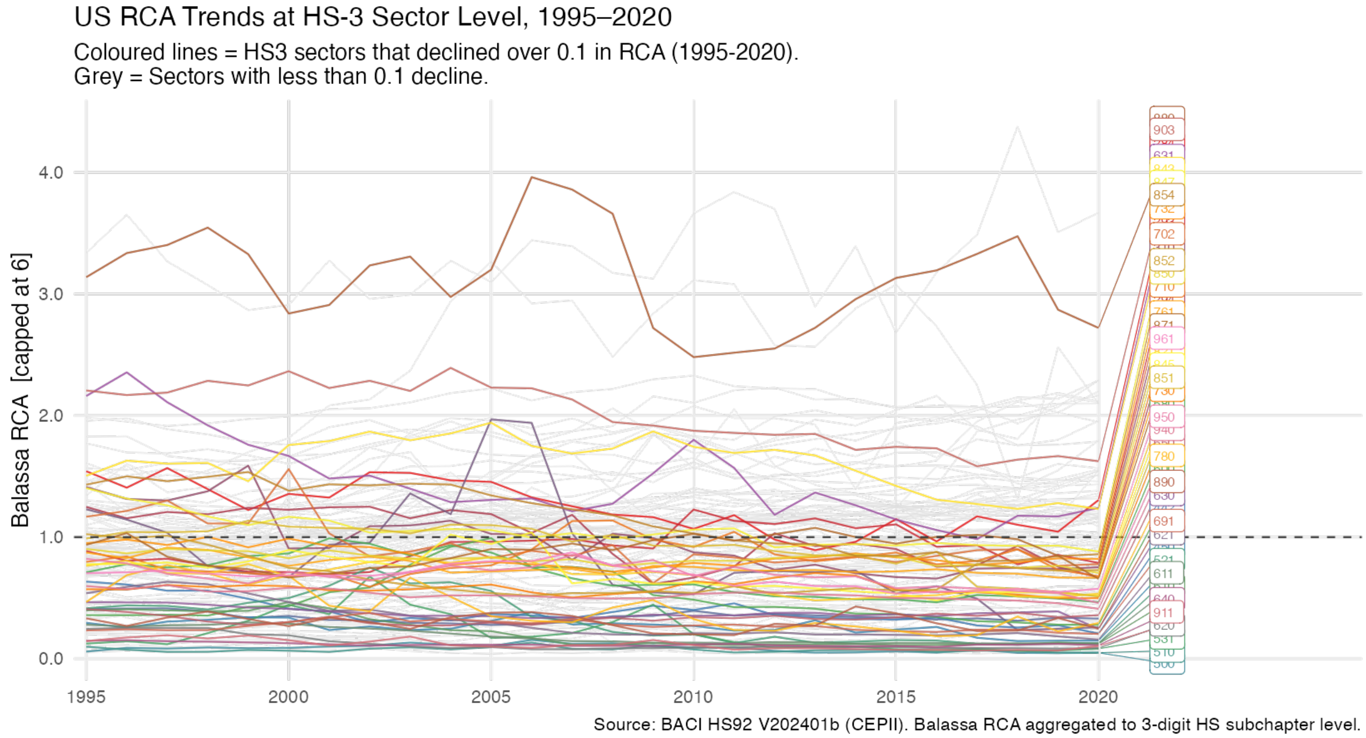

Figure 2: US RCA Trends at HS-3 Sector Level (merged from HS-4), 1995-2020. *Note:* Most declining sectors are U.S. disadvantage sectors, with declines concentrated in 2000-2010 during the first China shock before plateauing.

MIC2025-relevant areas represent a broad-level perception of U.S. advantage sectors of concern, as well as serving as a proxy for perceived threat, where China signaled an ambition to enter. The USTR named the Chinese program in its own Federal Register notices as the basis for identifying products; "China is dominating robotics/EVs/batteries" is how the threat was broadly articulated publicly and in NSC documents. As such, the variable $MIC2025_i$ equals one if product i belongs to one of eight broad HS-2 chapters that map to MIC2025-designated areas in its terms: pharmaceuticals (HS 30), numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new-energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships (HS 89), and bio-pharmaceutical instruments and medical devices (HS 90).[11] The mapping is informed by USTR's own stated

[11] Chemicals and materials chapters (28-29, 38, 72-76) are excluded because they encompass many basic non-strategic goods (Wübbeke et al. 2016). Adding them generates consistent results.

review of overlap between the tariff list and MIC2025-related technologies (USTR 2018b).

Control variables

I control for three groups of covariates, each aimed at ruling out a specific group of confounders.

Sectoral characteristics. Log *U.S. exports* of a sector averaged over 2001-2007 controls for the possibility that larger, more politically organized industries petition to address threats independent of the comparative advantage structure (Grossman and Helpman 1994). I additionally include *U.S. import penetration ratio* of a sector over the same period, capturing import-competing domestic exposure.[12] I also control for log *sector value-added* and *sector total employment* from the NBER-CES Manufacturing Industry Database to rule out the possibility that the comparative advantage measure is merely proxying for employment and output salience.

Product category. Binary indicators for *intermediate goods* and *consumer goods*, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic supply chains. Both product categories face distinct political economy pressures and may be systematically under-represented on the tariff lists for reasons unrelated to comparative advantage.

China factors. Two controls directly address the primary alternative hypothesis that the USTR targeted Chinese export conditions without reference to US comparative advantage. Mean share of US imports of a sector originating from China, averaged over 2001-2007, captures the intensity of direct import competition in the US domestic market (Autor et al. 2013). China's own RCA of a sector over the same period rules out that the U.S. could retaliate against Chinese industrial strength. I also control for log US exports to China in a sector, capturing products where American exporters had active export exposure to the

[12] For a given sector k, Import Penetration$_k$ = $\frac{\text{Imports}_k}{\text{Domestic Output}_k+\text{Imports}_k-\text{Exports}_k}$.

Chinese market and faced retaliatory risks.

Estimating strategy

I estimate a linear probability model (LPM) of the form:

$$\begin{aligned}\text{Targeted}_k = \alpha + \beta_1 \text{StableCA}_k + \beta_2 \text{MIC2025}_k + \beta_3 (\text{StableCA}_k \times \text{MIC2025}_k) \\ + \mathbf{X}_k' \gamma + \delta_{h(k)} + \varepsilon_k\end{aligned} \tag{2}$$

where $h(k)$ denotes the HS-2 chapter to which product k belongs, $\delta_{h(k)}$ is a chapter fixed effect absorbed via the within-estimator, $\mathbf{X}_k$ is the vector of controls described above, and ε_k is an error term. Standard errors are heteroskedasticity-robust. Chapter fixed effects are central to identification and to a limitation. This rules out the possibility that results reflect chapter-level political or industrial characteristics rather than product-level comparative-advantage structure. However, because MIC2025$_k$) is defined at the HS-2 chapter level, it is collinear with the chapter fixed effects, and β_2, the MIC2025 main effect, cannot be separately estimated once chapter effects are included. β_3 is the coefficient that carries *H1*: whether stable comparative advantage predicts targeting more strongly within MIC2025-designated sectors than outside them, that is, the threatened winners. The HS-2 chapters that proxy MIC2025 are broad, and each can contain lower-level disadvantage products alongside the advantage products the theory targets (e.g., HS 85 contains both semiconductor products and consumer electrical appliances). I also estimate a model without chapter fixed effects for comparing MIC2025 and non-MIC2025 chapters.

Case-comparison for H2

H2 is tested by structured comparison: the U.S.-Japan conflict of the 1980s and early 1990s, bounded to a few named sectors under the 1986 Semiconductor Agreement, the automobile VERs, and the 1987 machine-tool restraints, against the U.S.-China conflict of the 2010s and 2020s, systemic across the ten MIC2025 sectors and the successive Section 301 lists.

Scope is coded from each episode's primary record, and the outcome itself reveals whether protection remained targeted or generalized into a broader approach against free trade (e.g., Biden's retained tariffs and industrial policies, Trump's "liberation day").

4 Empirical Result

4.1 Main results: the Section 301 action

The central hypothesis of the Section 301 action test is whether contemporary protection concentrates in sectors associated with threatened national strength rather than merely in sectors exposed to import competition in the conventional sense. MIC2025_k represents both the broad sense of U.S. industrial core and advantage areas and perceived threat from foreign competition. The interaction term $\text{StableCA}_k \times \text{MIC2025}_k$ captures whether stable CA carries additional targeting probability within the domains where China has declared its intention to erode US advantage areas, i.e., threatened winners.

Table 2 displays the results across seven specifications, building from the unconditional interaction to the fully controlled specification. The coefficient of $\text{StableCA}_k \times \text{MIC2025}_k$ tests H1. It is positive and significant in every specification, from 10.8 percentage points unconditionally (column 1) to 20.0 percentage points in the fully specified model (column 5). Column 2 adds chapter fixed effects alone. These absorb chapter-level confounders, such as political organization or lobbying capacity, that correlate with MIC2025 designation, comparative advantage, or targeting. Columns 3 through 5 add the three groups of controls progressively: sectoral factors in column 3, China factors in column 4, and product-type factors in column 5. Column 6 repeats column 5 but relaxes chapter fixed effects to allow for the coefficient of MIC2025.

Overall, MIC2025-designated chapters, representing the broadly perceived threat to U.S. advantage areas, receive systematically higher targeting probability (46.9 and 28.6 percentage points more in columns 1 and 6, respectively). Within MIC2025-designated chapters,

Table 2: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs

	DV: Section 301 List 1+2 Targeting					
	(1)	(2)	(3)	(4)	(5)	(6)
Stable CA × MIC 2025	0.108***	0.181***	0.188***	0.199***	0.200***	0.147***
	(0.035)	(0.033)	(0.032)	(0.031)	(0.031)	(0.033)
MIC 2025	0.469***					0.286***
	(0.018)					(0.021)
Stable CA	0.057***	0.017**	−0.012	−0.030***	−0.033***	−0.010
	(0.012)	(0.007)	(0.008)	(0.008)	(0.008)	(0.013)
Log US export value			0.020***	0.000	0.004	0.005
			(0.003)	(0.003)	(0.003)	(0.004)
Import penetration			−0.032	−0.004	0.003	−0.021
			(0.056)	(0.048)	(0.050)	(0.050)
Log value-added			0.062***	0.040**	0.035**	−0.036***
			(0.017)	(0.017)	(0.016)	(0.007)
Log employment			−0.026	−0.013	−0.012	0.061***
			(0.021)	(0.020)	(0.020)	(0.010)
China import share				−0.221***	−0.192***	−0.210***
				(0.033)	(0.032)	(0.029)
China RCA				−0.008**	−0.006*	−0.003
				(0.003)	(0.003)	(0.003)
Log US–China exports				0.020***	0.017***	0.025***
				(0.003)	(0.003)	(0.003)
Intermediate good					−0.141***	−0.186***
					(0.025)	(0.023)
Consumer good					−0.209***	−0.220***
					(0.026)	(0.024)
HS-2 FE	No	Yes	Yes	Yes	Yes	No
NumObs	4162	4162	4023	4023	4023	4023
R^2	0.369	0.515	0.529	0.546	0.560	0.435

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

furthermore, durable comparative advantage in refined HS-6 sectors predicts a 16.7 percentage point higher probability of targeting — targeting exactly concentrates in threatened advantage sectors. Durable comparative advantage outside MIC2025-designated chapters, in contrast, predicts null to slightly lower targeting.

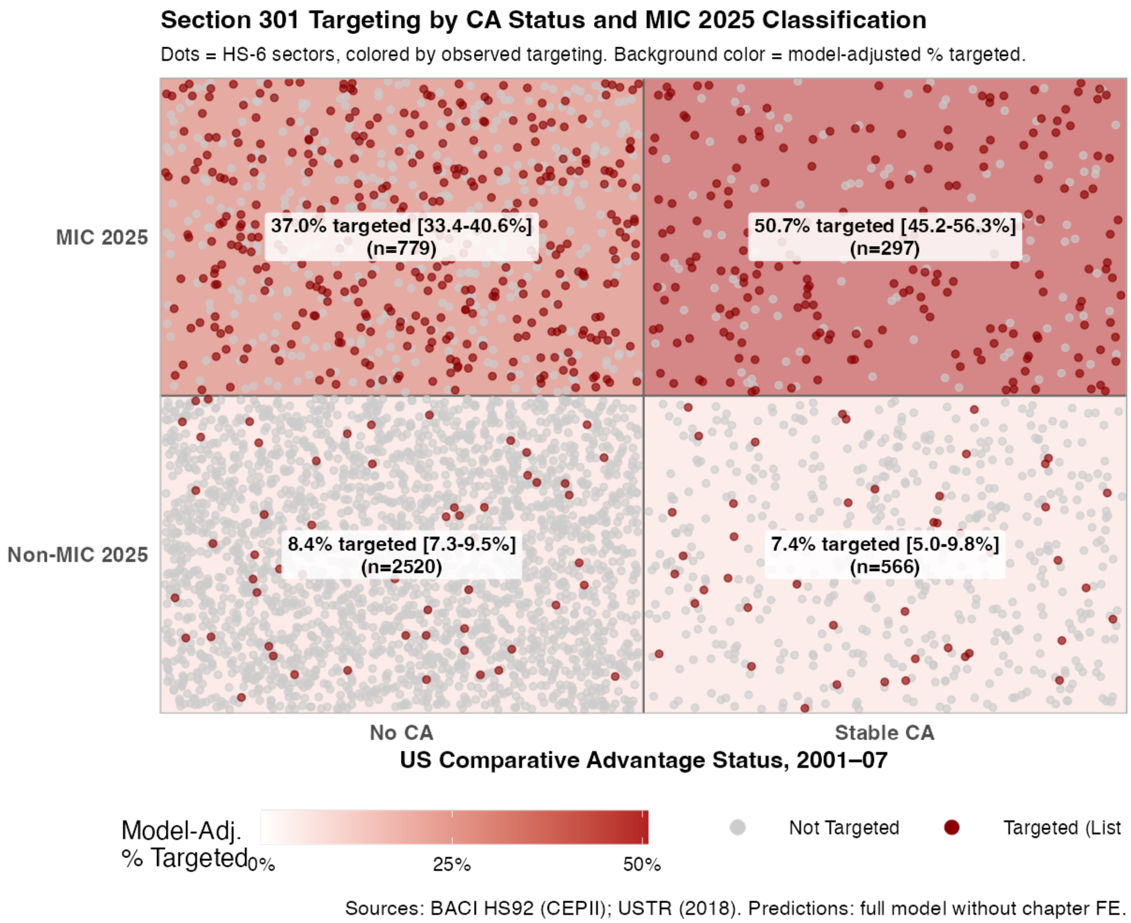

Figure 3: Predicted Section 301 Targeting by CA Status and MIC 2025 Classification. Note: Model-predicted Section 301 targeting probability by CA status and MIC2025 classification, with 95% CIs; dots show raw observed targeting outcomes.

In Figure 3, each panel shows the same four-cell grid — U.S. durable comparative advantage status (2001-07) crossed with MIC2025 classification — with predicted probabilities of Section 301 targeting from the full specification (Table 1, column 6), computed via average adjusted predictions holding all other covariates at their observed values. Within MIC2025 chapters, the model predicts 37.0% and 50.7% probability of Section 301 targeting

Table 3: Robustness: List Split, Aggregation Level, and Pre-Period Window

	(1) List 1	(2) List 2	(3) HS-4 Unit	(4) RCA 2001-16	(5) MIC HS-4
Stable CA × MIC 2025	0.226***	0.098**	0.222***	0.153***	−0.019
	(0.032)	(0.040)	(0.060)	(0.032)	(0.045)
Stable CA	−0.046***	−0.001	0.008	−0.025***	0.043***
	(0.005)	(0.007)	(0.016)	(0.008)	(0.013)
MIC 2025					0.185***
					(0.033)
Control	Yes	Yes	Yes	Yes	Yes
HS-2 FE	Yes	Yes	Yes	Yes	Yes
Unit of Analysis	HS-6	HS-6	HS-4	HS-6	HS-6
NumObs	3875	3530	940	4023	4023
R^2	0.542	0.477	0.677	0.556	0.561

* p < 0.1, ** p < 0.05, *** p < 0.01
Note: Robustness across list split, aggregation level, and pre-period window; interaction holds except under the narrow HS-4 MIC2025 list (designation effect).

for nonstable-CA and stable-CA sectors, respectively.

Robustness Checks

Table 3 confirms that the findings are robust to an array of alternative specifications: the interaction term remains positive and significant when restricting to List 1 ($34B, more narrowly MIC2025-focused) or List 2 ($16B, broader extension), when aggregating to HS-4 levels for the unit of analysis, and RCA constructed using an extended 2001-2016 window before Trump's election, bracketing the baseline estimate throughout. Column (5) recodes MIC2025 using the narrower list of 70 HS-4 sectors that I manually mapped from the Made in China 2025 policy's named areas. Although the interaction term is null, sectors with both stable CA and MIC2025 status still possess the highest predicted targeting probability, and MIC2025-designated sectors are targeted at uniformly higher rates.

Additional robustness tests include sensitivity analyses to assess whether any vulnerability to unobserved confounding still remains (Appendix). Furthermore, to relax the LPM's functional form, I use two matching methods (nearest-neighbor matching and covariate-balancing propensity score weighting), finding the same pattern within MIC2025 sectors (Appendix). As mentioned, I also operationalize durable RCA using different measures:

RSCA (Revealed Symmetric Comparative Advantage), NRCA (Normalized Revealed Comparative Advantage), and continuous RCA (Appendix).

Placebo Tests

Three placebo instruments, each following a different logic from the paper's theory, are tested against the main specification, with the dependent variable being specific policy targeting. The CHIPS Act (Biden, semiconductor reshoring subsidies) follows a "rebuild lost capacity" logic that should be orthogonal to, or even inversely related to, defending existing comparative advantage: sectors in which US comparative advantage had collapsed long ago, such as integrated circuits (HS 8541-8542) and semiconductor manufacturing equipment (HS 8486). The interaction coefficient is small and insignificant, consistent with this prediction. The Inflation Reduction Act's clean-energy provisions (Biden, sectors where the US held little prior advantage) support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage in which policy is building new productive capacity rather than defending existing positions. The result shows the same null pattern. Both Biden placebos support instrument specificity: the interaction identified for Section 301 action does not mechanically reappear whenever a dependent variable involves policy-targeting regarding advanced sectors.

Section 232 steel and aluminum tariffs of long-standing US comparative disadvantage (Trump, national-security rationale, chapters 72, 73, and 76) test the mechanism differently. Because Section 232's targeted chapters are entirely disjoint from the HS-2 chapters used to define MIC 2025 status, an interaction term would have no sensible interpretation and is omitted. Instead, the model tests whether Stable CA alone predicts Section 232 targeting. The coefficient is negative and significant (-0.081, $p<0.01$), since Section 232 targeted legacy sectors where the US had already lost comparative advantage decades earlier.

Key competing explanations

In what follows, I address some key competing explanations in greater detail.

Sectoral competitiveness. A concern regarding the main result is that "comparative advantage" merely proxies for sectors where the U.S. is generally more productive or higher value-added, rather than capturing a distinct comparative advantage-defense logic. But Comparative advantage cannot be reduced to high-value-added industries. The United States, for example, ceded commercial shipbuilding and much semiconductor manufacturing despite both being relatively high-value activities. The check (Appendix) merges log sector value-added and five-factor total factor productivity (TFP) from the NBER-CES Manufacturing Industry Database, averaged 2001-2007 and matched via HS-6-to-NAICS-4 concordance, into the full specification. The interaction effect is unchanged. TFP is additionally interacted with MIC2025 status: the StableCA$\times$MIC2025 term remains significant (0.200, $p < 0.001$), while the TFP$\times$MIC2025 term is not ($p=0.44$).

Security and strategic sectors. One other concern is that the comparative-advantage-defense mechanism is difficult to distinguish from a broader national-security or strategic-technology rationale. Security or strategic concerns unavoidably play a role. The MIC2025 measure used throughout substantially contains strategic and security matters rather than a competing explanation. To mitigate the concern, I control for a security-sector indicator combining CISA's Critical Manufacturing Sector (NAICS 331/333/335/336) and the USGS 2022 Critical Minerals List, and find the interaction term survives essentially unchanged (Appendix).

Partisanship. Another confounder to consider is political-competitiveness: Fajgelbaum et al. (2020) finds that U.S. Section 301 tariffs favored sectors concentrated in electorally competitive counties (an inverted U-shape), raising the question of whether the main result reflects electoral targeting that may confound comparative-advantage defense. The check (Appendix) similarly constructs a sector-level political-competitiveness measure — the labor-compensation-weighted average 2016 county Republican vote share across each industry's producing counties, matched via the HS6-to-NAICS4 concordance — and adds it (with its square, allowing for the documented inverted-U relationship) to the full specification.[13] The interaction term remains essentially unchanged (0.192 vs. 0.200 baseline).

Value-added RCA. Lastly, RCA constructed from gross trade may understate U.S. comparative advantage in globally fragmented industries, where the United States specializes in high-value tasks such as design, R&D, and intellectual property while assembly occurs abroad. This creates plausible false negatives (i.e., Stable RCA = 0) in Stable RCA, especially within MIC2025 sectors. Such misclassification would tend to attenuate the estimate by assigning genuinely advantaged, highly targeted products to the control group, making RCA and non-RCA MIC2025 products appear more similar. As a robustness check, I reconstruct RCA using value-added exports, which better captures specialization within fragmented global production chains (Appendix).

4.2 Elite discourse: Congressional speeches on "free trade" (1981-2024)

The LLM-based approach

The preceding statistical analysis demonstrates that the unprecedented trade policy reversal since the Second World War is consistent with the theory. The elite discourse adds two additional supports: the temporal shift tracing elite reasoning across four decades and that the shift toward concern over eroding American strength actually occurred in policymakers' own words. If the argument is correct, congressional rhetoric should become less focused on transitional adjustment or technical issues or disadvantage sectors, but more on deindustrialization, unfairness, and the erosion of advantage sectors. To assess this, I analyze U.S. congressional speeches on trade in two ways: LLM-based construct-level coding and a structural topic model (STM) as an unsupervised check.

[13] The sector-level political-competitiveness measure is: $\text{PolExposure}_s = \sum_{r \in R_s} \frac{w_{sr} L_{sr}}{\sum_{r' \in R_s} w_{sr'} L_{sr'}} V_r$, where R_s is the set of counties with employment in industry s, $wsrLsr$ is industry s's labor compensation (payroll) in county r (Census County Business Patterns, 2016), and V_r is county r's 2016 Republican presidential vote share (MIT Election Data and Science Lab).

Compared to existing topic models, an LLM-based approach can correspond to the specific, theoretically motivated constructs at stake here – whether a named sector is advantaged, whether the speaker is specifically expressing competitiveness-decline concern as opposed to generic job-loss language, or whether national-security language is invoked. Measuring these constructs requires speech-level, construct-specific classification, which is only tractable via LLM-based annotation.

The corpus consists of congressional floor speeches from the Hein-Daily corpus (97th-114th Congresses, 1981-2024), filtered to include speeches containing the keywords "free trade," targeting speeches that engage trade liberalization as an ideological or policy-agreement question. This process generated 4,220 speeches. Each speech was classified by *gpt-4o-mini* using strict structured-output (JSON format) prompting, which constrains the model to a fixed set of valid category values per field. For each speech, the model extracted every specific sector named, classifying each against a category lookup against MIC2025-relevant list (next-generation IT, machine tools and robotics, aerospace, maritime engineering and shipbuilding, rail transit, automobiles, power equipment, agricultural machinery, new materials, and biopharmaceuticals or medical devices). This is conceptually aligned operationalization from the analysis's HS2-chapter-based MIC2025 proxy. Alongside, the model coded the speech across several constructs: whether China was mentioned to proxy foreign rival's deliberate policy, whether the speech invoked explicit national-security or strategic-infrastructure language, and three independent measures (whether the speech calls for protection, whether it criticizes free trade, and whether it expresses concern about US industrial competitiveness declining).

Construct definitions were iteratively refined and validated through targeted test cases prior to full-corpus coding – for example, confirming that the decline-concern field correctly separates local-job-loss language from genuine industrial competitiveness claims. A human-validation sub-sample check, scored via Krippendorff's alpha, is reported in Appendix.

The comparison group against which MIC2025-sector salience is benchmarked consists of steel and textiles – identified as the two "declining industry" sectors named in the corpus with highest frequency, neither of which is MIC2025-designated.[14] The comparison tests whether heightened advantage-sector attention simply tracks generic import-competition protectionism, a possibility that a rise in MIC2025 salience alone cannot rule out.

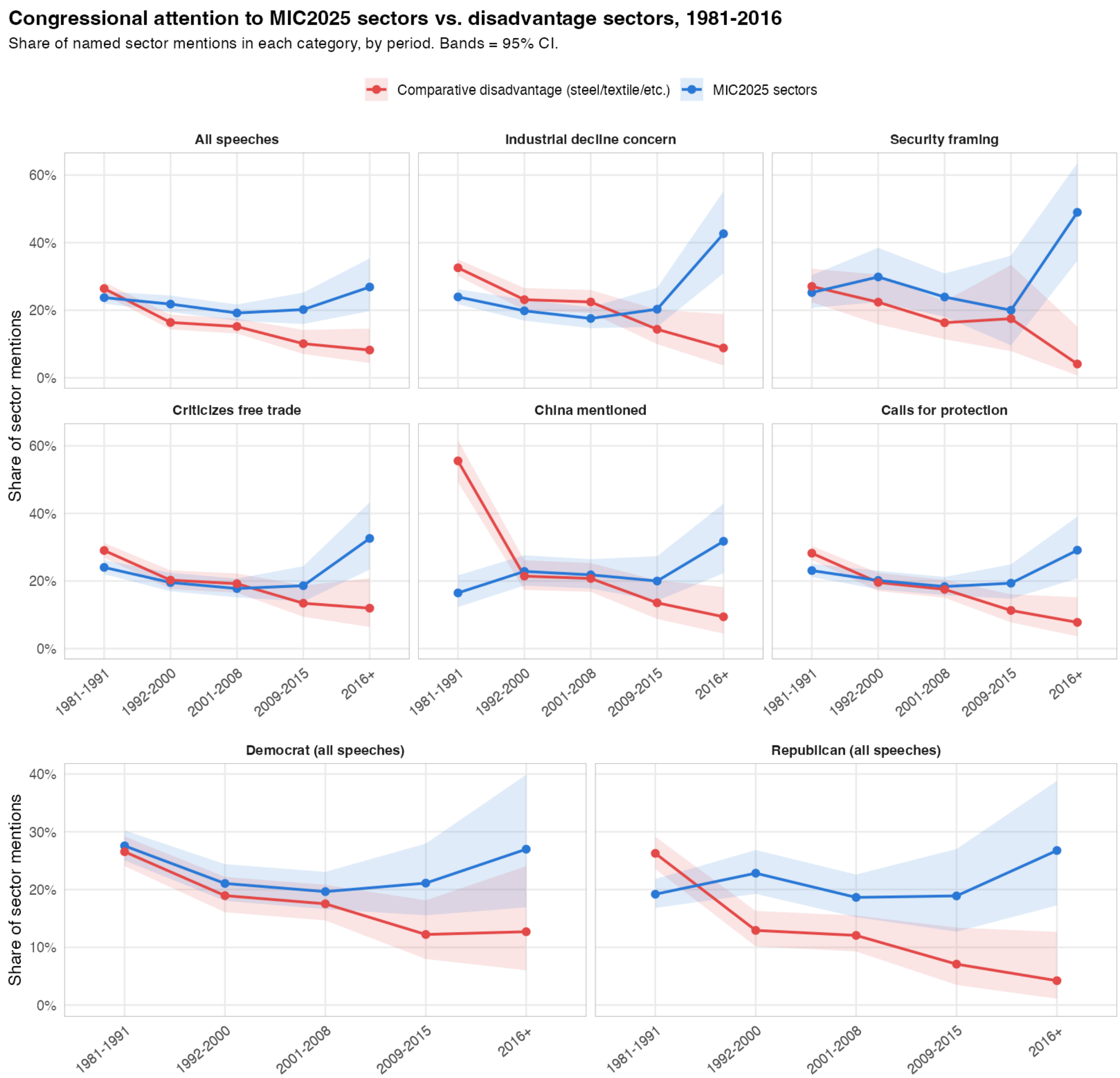

Figure 4: MIC2025-relevant vs. comparative-disadvantage sector share of named-sector mentions. *Note*: by period and rhetorical subgroup, with a standalone Democrat/Republican comparison. Shaded bands are 95% CI.

[14]Steel's classification as a disadvantage sector rests on its RCA and conventional perception. Results are robust to excluding steel. Moreover, its possible post-2016 elevation makes the finding a conservative estimate.

Across the full period, disadvantage-sector mentions (percentage of all mentions) decline steadily and substantially, from roughly a quarter of all sector mentions in the 1980s to under 10% by 2016 and later, a pattern that holds essentially without exception across every subgroup examined (Figure 4). MIC2025-sector salience, by contrast, is comparatively flat until the early 2010s, and then rises sharply after 2016, most visibly within speeches expressing concern about US industrial competitiveness and speeches invoking national-security framing. This is consistent with the historical timing mentioned before – policymakers were mostly worried about import competition until they realized China's industrial ambitions in the mid-2010s.

Comparing the post-2016 period to the 2001-2008 one, MIC2025-sector salience within industrial-decline-concern or national-security-framed speeches, for example, rises by over 20 percentage points. Disadvantage-sector salience of the same subgroups fall by over 15 percentage points. This strongly supports my claim: when Congress frames trade concerns, the sectors invoked have shifted decisively toward American advantage sectors facing imminent foreign threats, and away from the classic labor-intensive sectors that dominated the trade rhetoric historically. Results for the remaining conditioning categories tested – criticizes-free-trade, China-mentioned, calls-for-protection, and the unconditioned pool of all speeches (including bipartisan subgroups) – are all consistent. Table 4 illustrates these concerns. Legislators increasingly describe trade not as an external relation but as a self-inflicted vulnerability. The recurring rhetoric of "hollowing out," "lost good jobs," "unfair trade," and "industrial decline" is consistent with the expectation-mismatch argument: elites are no longer treating trade as a bargain that mostly works despite adjustment costs.

"...we are not going to have a strong economy unless we have a strong manufacturing capability, unless companies are reinvesting in Colorado or Vermont, creating good jobs here..."
"...This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers..."
"...Detroit and automobile production in this country will be diminished as car manufacturing moves to China..."
"...If the United States is to remain a major industrial power... we cannot continue the failed, unfettered free trade policies."
"...Chinese imports did overwhelm U.S. industry. The Cato Institute was dead wrong."
"...We will buy American airplanes only if they are manufactured in China... That is not fair trade."
"...In fact, we were told that permanent normal trade relations with China would create hundreds of thousands of American jobs. Well, not quite."
"...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition."

Table 4: Illustrative Congressional Concerns of the Impacts of Free Trade

Several limitations exist for the paper's methods. The design cannot distinguish a genuine within-speaker rhetorical shift from a compositional effect of congressional turnover, since essentially no individual legislators in the corpus have codeable speeches in both the 2001-2008 and post-2016 windows. Sector-level attribution within multi-sector speeches is approximate: for example, roughly 11% of decline-concern speeches contributing to the MIC2025-versus-disadvantage comparison name both an MIC2025 and a disadvantage sector in the same speech, so the concern language cannot always be attributed to one specific named sector with certainty. Nonetheless, the main conclusions should hold. Full regression specifications comparing the two periods and coefficient tables are reported in Appendix.

Topic models

STM, on the other hand, provides a robustness check since STM's topic-prevalence estimates rest on a wholly different (unsupervised, well-established) methodology. If topics emerge organically as high-prevalence without being told to look for them, that corroborates the LLM-coded categories as real structures in the corpus rather than a classification scheme imposed by the coding instructions.

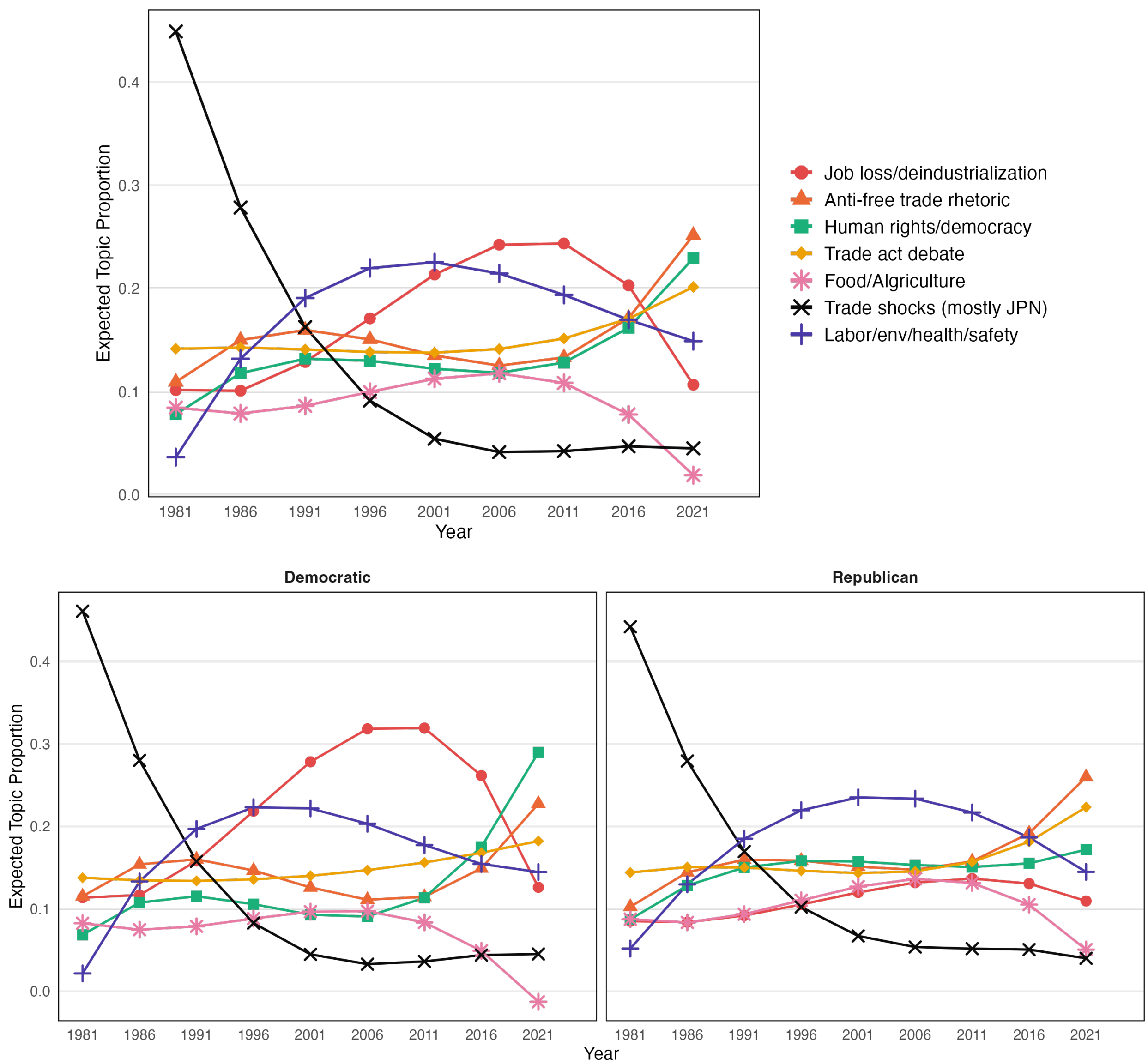

Figure 5: Trade Topic Trends: Congressional Speech on Free Trade by STM

In Figure 5, the broad pattern is a temporal and bipartisan shift away from technocratic trade talk (e.g., environment and safety) and toward concerns over industrial decline, lost jobs, unfair competition, and national economic weakening. These rhetorics include local concerns driven. However, concerns over "industrial decline" were also salient, while traditional security and human-rights frames stagnated. As these concerns reached a high level in the early 2010s, dormant anti-free trade rhetoric spiked, and now Human rights and security were often framed as justifying anti-trade views. Existing and new trade acts were increasingly debated.

Partisan patterns are consistent: in the 1990s and early 2000s, trade discourse remained more technocratic and partisan: Democrats more often emphasized regional and labor costs, while Republicans more often stressed growth and efficiency. After 2010, however, skepticism rose across both parties and increasingly converged on a common deindustrialization frame. Despite historically divergent positions on free trade, concern over foreign industrial competition was often bipartisan, as illustrated by U.S. responses to Japan in the 1980s. Trump's protectionism combined concerns over deindustrialization and manufacturing decline with a mercantilist emphasis on bilateral trade deficits and unfair foreign practices.

These patterns imply that, as losses spread from disadvantage sectors into sectors regarded as national advantage, protectionism can diffuse from peripheral factions into the party establishment. Logically, losses concentrated in disadvantaged sectors alone should not have generated an elite consensus around deindustrialization and a broader turn against free trade. That shift coincided with growing concern among senior U.S. policymakers that Chinese industrial upgrading was beginning to erode U.S. advantage sectors.

The speech evidence also runs against competing explanations. If it were driven only by loser politics, rhetoric should remain concentrated around conventionally disadvantaged sectors. Instead, the dominant rhetorical turn is toward deindustrialization and the erosion of sectors associated with national strength. If anti-trade attitudes were driven mainly by a generic rise in security concerns, security frames should dominate the shift. Instead, timing carries the theory's central claim. Anti-trade rhetoric concentrated in U.S. advantage sectors during the Japan episode of the 1980s, receded during the "first China shock," and broadened again after 2010. Figure 6 shows similar patterns when legislators mention "trade with China."

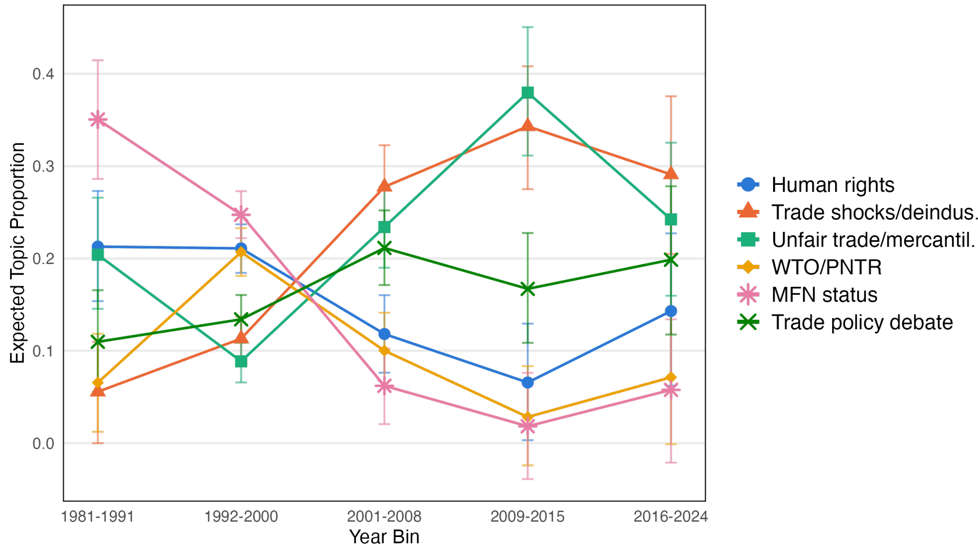

Figure 6: Trade Topic Trends: Trading with China (1981-2024).

5 Cases: Two Trade War Episodes

This section provides a more in-depth look through a comparison of two historical episodes, including the instruments each government actually used and why. The United States fought two trade conflicts with rising competitors in its own advantage sectors: one with Japan in the 1980s, one with China from 2018 onward. Both episodes show similar, yet differentiated patterns: aggressive, sector-specific defense concentrated on the American comparative advantage sectors, while sectors already understood as declining were left to decline. However, the U.S.-Japan case reflects a largely sectoral version of the argument, while the U.S.-China case reflects a more systemic version of the same logic.

The two episodes also provide examples of the two liberalization phases distinguished above. Japan's liberalization took place within the postwar Western bloc and reached "equilibrium" once Japan closed the gap in the sectors where there was American disadvantage (e.g., textiles). China's liberalization took place within the expanded post-Cold War trade system, and roughly reached its own "equilibrium" when the first China shock plateaued.

U.S.-Japan: sectoral threat and bounded protection

Japan's rise in the 1980s threatened American producers across several sectors: textiles, consumer electronics, steel, shipbuilding, automobiles, semiconductors, and precision machinery among them. Contemporary accounts emphasize that U.S. complaints focused on Japan's industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Prestowitz 1988; Tyson 1992).

The United States primarily defended advantage sectors. Textiles, consumer electronics, and shipbuilding, widely considered comparative disadvantaged, received no new defense (Borrus et al. 1986; Irwin 1996). Textile imports had been under quota since the Multi-Fiber Arrangement of 1974, a restraint that predates the period this article analyzes and was left to wind down rather than be tightened (USITC 1981). Shipbuilding, an industry understood as labor-intensive and already in structural decline, lost its commercial sector almost entirely throughout the decade, and the Reagan administration's response was to cut the subsidies (Reagan 1986). Consumer electronics assembly received no equivalent instrument at all.

In contrast, automobiles received the most sustained defense: voluntary export restraints (VER) limited Japanese shipments from 1981 to 1994, an instrument that was renewed and tightened repeatedly (Feenstra 1988). Semiconductors received a comparable defense: the 1986 Semiconductor Arrangement restricted Japanese pricing and guaranteed American producers a fixed share of the Japanese market, and it targeted dumping specifically in memory chips, the segment where Japanese competition was most acute (Irwin 1996; Borrus, Tyson, and Zysman 1986; Reagan 1986). Machine tools received a more aggressive instrument — a 1986 voluntary restraint agreement covering Japan and Taiwan, partly pursued under Section 232 on national-security grounds (U.S. Congress 1987).

The semiconductor case is sharper once disaggregated. American producers did not defend commodity memory production itself. Intel abandoned DRAM manufacturing in 1985, ceding the segment to Japanese and, later, Korean producers, and redirected its capacity to microprocessors, then described as a deliberate move toward the chip design segment where American capability commanded the highest margin (Grove 1996; Macher et al. 1998). What the 1986 U.S.-Japan Semiconductor Agreement protected was market access and pricing discipline for the industry as a whole, which benefited the higher-value, design-intensive segment where American firms retained their advantage far more than it protected the memory-chip manufacturing capacity already conceded. The distinction the industry drew for itself, design over commodity manufacturing, is the same logic comparative advantage predicts.

An interesting case is steel, when steel producers petitioned for import relief (tariffs/quotas) in 1984. The International Trade Commission (auto) recommended it under Section 201's injury standard. Despite eventually negotiating voluntary restraint agreements paired with an industry adjustment program, President Reagan rejected that recommendation, judging import relief not to be in the national economic interest (Reagan 1984). This was managed decline from constituent pressure, not advantage-sector defense, an explicit acknowledgment that American steel was no longer competitive, paired with only a restraint on the speed of its contraction. In contrast, for autos, although the Commission determined that imports were not a substantial cause of injury, the Reagan administration nevertheless pressed Japan for a VER in 1981 (USITC 1980).

Crucially, the Japanese challenge was widely perceived as serious but bounded. Although fears of "Japan Inc." were salient, the threat did not appear to span the full range of advanced U.S. industries (Friedman 1988; Vogel 1996). The clearest evidence is what the United States did next. Rather than retreat from the trade regime once the Japan disputes settled, it expanded its commitment to it. The North American Free Trade Agreement took effect in 1994, the same year the last of the auto VERs expired (Governments of the United States, Canada, and Mexico 1994).[15] The Uruguay Round Agreements Act, creating the World

[15] The auto VER itself had exempted cars built in the United States from the quota, and Japanese automakers responded by building American plants, Honda in 1982, Nissan in 1983, Toyota in 1986 (CSIS 2018).

Trade Organization, took effect one year later.

U.S.-China: systemic threat and broad-based backlash

The U.S.-China case reflects a more systemic version of the same logic. China's sheer economic size and its systematic state-backed industrial upgrading appeared not as isolated competition in a few sectors, but as a broad movement across a wide range of industrial and technological domains. Under those conditions, policymakers increasingly interpreted trade as a general threat to hollow out the industrial basis of national power.

In the 2000s, China's WTO accession generated large import shocks in labor-intensive manufacturing sectors, primarily interpreted through a conventional adjustment lens (Autor et al. 2013). By the 2010s, however, U.S. policymakers increasingly framed China's trajectory as broad-based upgrading across advanced industrial sectors, supported by state policy, technology acquisition, and agglomerating global value chains (Lardy 2019; Naughton 2021).

The U.S.-China trade conflict since 2018 showed what seemed like the same selective logic at the outset, then broke from Japan's pattern in scope. Official U.S. assessments emphasized that Chinese industrial strategy targeted many high-value sectors simultaneously (USTR 2018a). This framing transformed the interpretation of trade. The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board. Section 301 Lists 1 and 2 targeted products in Made in China 2025-designated chapters specifically, of $34 billion and $16 billion respectively, and explicitly excluded consumer goods from their coverage. This did not last. Lists 3 and 4 expanded coverage to $200 billion and $300 billion, progressively relaxing the consumer-goods exclusion that had confined the first two lists, until approximately two-thirds of U.S. imports from China carried additional tariffs (Congressional Research Service 2020).

The tariffs also survived a change of party, a test the Japan episode offers no comparable version of. The Biden administration inherited the Trump tariffs in 2021 and kept them.

The instrument itself widened as the conflict continued: from tariffs, to export controls on semiconductors and the equipment that produces them in October 2022 (Bureau of Industry and Security 2022), to restrictions on outbound investment in August 2023 (The White House 2023), to domestic industrial policies under the CHIPS Act and the Inflation Reduction Act aimed at rebuilding lost capacity. Protection for a specific list of strategic sectors became, within several years, a bipartisan reorientation of the trade relationship that neither party has since reversed.

By 2025, this logic moved beyond China entirely. The second Trump administration imposed near-universal tariffs on most U.S. trading partners under emergency economic powers. When the Supreme Court ruled that authority invalid in February 2026, the administration replaced it within the same day using a different statute rather than abandoning the policy (Supreme Court of the United States 2026). What began as a bounded response to a specific competitor had become, within seven years, a general position that trade should not be broadly open, one that survived not only a change of party but a direct defeat in the courts.

This evolution reflects a shift from sectoral to systemic threat. As long as Chinese competition was perceived as concentrated in already disadvantaged sectors, political responses were inert. Once policymakers interpreted China as upgrading into a wide range of sectors associated with U.S. strength, the expectation that trade would reliably reward those sectors eroded. Trade was increasingly framed not as a source of localized adjustment, but as enabling industrial hollowing-out and strategic vulnerability.

The two episodes differ in outcome exactly as the theory predicts, and the difference is visible in what each government did with the rest of its trade policy, not only in the disputed sectors themselves. Once the sectoral threat in the Japan conflict reached settlement, the United States expanded its liberalization commitments elsewhere. When threats are systemic, as in the U.S.-China case, tariff coverage and the range of instruments kept expanding instead, across two administrations of opposing parties. Both episodes also confirm the same within-era pattern: sectors perceived as American strengths received sustained defense; sectors already understood as declining did not, regardless of how much displacement they had already suffered.

The results show a clear and consistent pattern. Respondents are significantly more likely to oppose trade when it is framed as threatening sectors associated with national strength than when it affects disadvantaged sectors. This difference is substantively large and robust across specifications. By contrast, losses confined to disadvantaged sectors generate more muted responses, consistent with the idea that such losses are broadly understood as part of the expected adjustment process.

These findings provide micro-level support for the expectation-mismatch argument. Individuals do not react uniformly to trade-induced losses; they react most strongly when trade is described as undermining sectors that symbolize national economic strength and future prosperity. This pattern mirrors the shift in elite rhetoric documented above and reinforces the claim that contemporary backlash is driven not only by who loses from trade, but by whether globalization continues to reward the sectors that originally legitimized it.

6 Conclusion

This article has argued that the politics of trade are not governed only by who loses from initial liberalization; they are also governed by whether globalization continues to reward the sectors that originally justified trade openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash often intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain under after equilibrium.

When trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This perspective has three implications. First, it shifts the study of trade politics from the distributive consequences of opening up to the foundation, bargain, and political sustainability of openness over time. Second, it shows that elite cueing is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the foundational assumptions that once made liberalization politically feasible in the first place.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional. Where globalization continues to deliver visible gains in the sectors expected to anchor national prosperity, pro-trade coalitions can endure. Where it instead appears to erode those sectors, support for openness can unravel rapidly. In that sense, current anti-globalization politics are neither random nor simply a reaction to distributional pain. They are a reaction to a perceived failure of the bargain at the core of globalization.

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A A Simple Model of Advantage-Sector Loss

This appendix provides a simple economic framework for the argument in the main text. The purpose is to clarify why the loss of an established advantage sector can reduce national welfare, particularly when no comparably valuable new advantage emerges. The model distinguishes three stages: an initial trade equilibrium, a foreign productivity shock, and long-run adjustment.

Setup

Consider a home country that produces and consumes two goods, 1 and 2. Good 1 is initially the country's comparative-advantage sector. Let aggregate consumption be C_1 and C_2, and assume representative aggregate preferences of the Cobb–Douglas form:

$$U(C_1, C_2) = C_1^{\alpha} C_2^{1-\alpha}, \qquad 0 < \alpha < 1. \tag{1}$$

An indifference curve associated with utility level $\bar{U}$ is therefore

$$C_2 = \left(\frac{\bar{U}}{C_1^{\alpha}} \right)^{\frac{1}{1-\alpha}}. \tag{2}$$

Production uses a fixed labor endowment L. Let A_1 and A_2 denote labor productivity in the two sectors. A simple Ricardian production possibility frontier (PPF) is

$$\frac{Q_1}{A_1} + \frac{Q_2}{A_2} \leq L, \tag{3}$$

where Q_i denotes domestic production of good i. Under autarky, consumption must equal production:

$$C_i = Q_i. \tag{4}$$

With international trade, consumption need not coincide with production. Let p_1 and

p_2 denote world prices. The value of domestic production is

$$Y = p_1 Q_1 + p_2 Q_2. \tag{5}$$

The country's consumption possibilities are consequently described by the trade budget constraint

$$p_1 C_1 + p_2 C_2 \leq p_1 Q_1 + p_2 Q_2 = Y. \tag{6}$$

Equivalently,

$$C_2 = \frac{Y}{p_2} - \frac{p_1}{p_2} C_1. \tag{7}$$

The slope of the trade budget line is therefore $-p_1/p_2$. Consumers choose the highest attainable indifference curve, implying at an interior consumption optimum

$$MRS_{12} = \frac{\alpha}{1-\alpha} \frac{C_2}{C_1} = \frac{p_1}{p_2}. \tag{8}$$

Initial Trade Equilibrium

Suppose the home country initially possesses comparative advantage in good 1. Relative to autarky, trade induces the country to specialize more heavily in good 1 and exchange some of its production for good 2.

Let $Q^{T1} = (Q_1^{T1}, Q_2^{T1})$ denote the initial production point and $C^{T1} = (C_1^{T1}, C_2^{T1})$ the corresponding consumption point. Because trade separates production from consumption, C^{T1} can lie outside the domestic PPF even though the value of consumption cannot exceed the value of production:

$$p_1 C_1^{T1} + p_2 C_2^{T1} = p_1 Q_1^{T1} + p_2 Q_2^{T1}. \tag{9}$$

The country consequently reaches utility

$$U^{T1} = U(C_1^{T1}, C_2^{T1}), \tag{10}$$

which exceeds the utility attainable under autarky when the standard gains-from-trade conditions hold.

This is the benchmark underlying the expectation of mutually beneficial specialization: the country concentrates production in activities in which it possesses an advantage and uses international exchange to obtain a consumption bundle unavailable under autarky.

A Foreign Productivity Shock

Now consider a productivity improvement abroad concentrated in good 1, the sector in which the home country initially possesses comparative advantage. Let foreign productivity in this sector increase from A_1^* to $\widetilde{A}_1^* > A_1^*$.

The productivity shock expands foreign supply of good 1 and, under standard conditions, reduces its relative world price:

$$\frac{\widetilde{p}_1}{\widetilde{p}_2} < \frac{p_1}{p_2}. \tag{11}$$

Because good 1 is the home country's initial export and advantage sector, equation (11) represents a deterioration in the home country's terms of trade.

Suppose first that domestic production cannot adjust immediately, so that

$$Q^{T2} = Q^{T1}. \tag{12}$$

The value of this production after the shock becomes

$$Y^{T2} = \widetilde{p}_1 Q_1^{T1} + \widetilde{p}_2 Q_2^{T1}. \tag{13}$$

Since the country initially specializes disproportionately in good 1, the fall in its relative price reduces the purchasing power of domestic production over imports. The consumption budget line changes accordingly:

$$\widetilde{p}_1 C_1 + \widetilde{p}_2 C_2 \leq Y^{T2}. \tag{14}$$

The country therefore reaches a new consumption point $\boldsymbol{C}^{T2}$ and utility level

$$U^{T2} = U(C_1^{T2}, C_2^{T2}). \tag{15}$$

The short-run welfare effect can be summarized as follows.

Proposition 1. *A foreign productivity improvement concentrated in the home country's export sector can reduce home welfare by deteriorating its terms of trade. The welfare loss is larger, all else equal, the more heavily home production is initially concentrated in that sector.*

The intuition is straightforward. The productivity shock does not need to destroy the home country's physical productive capacity. Instead, it reduces the value of its existing productive capabilities at world prices. A country whose production is concentrated in the affected sector therefore obtains fewer imports for a given quantity of exports.

Long-Run Adjustment and the Loss of Advantage

In the long run, production can adjust to the new world prices. Let the post-adjustment production point be

$$Q^{T3} = (Q_1^{T3}, Q_2^{T3}), \tag{16}$$

where the contraction of the former advantage sector implies

$$Q_1^{T3} < Q_1^{T1}. \tag{17}$$

The important question is whether the economy develops a sufficiently valuable alternative specialization. Standard trade logic permits this possibility: resources released from the declining sector can move toward other activities, potentially generating a new comparative advantage.

The argument in the main text concerns the case in which this replacement is incomplete. When trading partners swiftly erode advantageous sectors through interventions, one is likely given too short a time to generate new advantage sectors. Define the maximum value of domestic production at world prices as

$$V(p_1, p_2) = \max_{(Q_1,Q_2)\in\boldsymbol{Q}} \{p_1 Q_1 + p_2 Q_2\}, \tag{18}$$

where $\boldsymbol{Q}$ is the country's production possibility set.

After the foreign productivity shock, the country's maximum attainable production value is

$$V(\widetilde{p}_1, \widetilde{p}_2) = \widetilde{p}_1 Q_1^{T3} + \widetilde{p}_2 Q_2^{T3}. \tag{19}$$

If adjustment into other sectors does not compensate for the decline in the value of the former advantage sector, then, measured in units of the import good,

$$\frac{V(\widetilde{p}_1, \widetilde{p}_2)}{\widetilde{p}_2} < \frac{V(p_1, p_2)}{p_2}. \tag{20}$$

The country's attainable consumption set is consequently less favorable than before the shock, and the highest attainable utility level can fall:

$$U^{T3} < U^{T1}. \tag{21}$$

This yields the central result.

Proposition 2. *The welfare consequences of losing a comparative-advantage sector depend on the economy's ability to generate compensating advantages elsewhere. If the decline in the value of the established advantage sector is not offset by sufficiently valuable alternative* *production, the foreign productivity shock produces a persistent reduction in real income and welfare relative to the pre-shock trade equilibrium.*

Importantly, Proposition 2 does not imply that losing comparative advantage necessarily makes trade welfare-reducing, nor does it require the physical PPF to contract. The result instead concerns the value of the country's productive capabilities at prevailing world prices. If the relative price of the country's established advantage good falls substantially and no comparably valuable new specialization emerges, its feasible consumption opportunities can remain below their previous level even after production has adjusted.

Expectation Mismatch

The model clarifies the distinction between the conventional expectation generated by comparative advantage and the political problem examined in the paper.

At the initial equilibrium, globalization offers a straightforward bargain:

$$\text{specialization} \rightarrow \text{higher efficiency} \rightarrow \text{greater consumption possibilities} \rightarrow \text{higher welfare.} \tag{22}$$

This logic does not, however, imply that the identity of advantage sectors is fixed. Foreign productivity growth can erode an established advantage. Nor does comparative advantage guarantee that a country losing one high-value specialization will automatically acquire an equally valuable replacement.

The politically consequential trajectory is therefore

$$\begin{aligned}
&\text{established domestic advantage} \\
&\qquad \rightarrow \text{foreign catch-up in the same sector} \\
&\qquad \rightarrow \text{deteriorating terms of trade and domestic contraction} \\
&\qquad \rightarrow \text{no commensurate new advantage.}
\end{aligned} \tag{23}$$

Under these conditions, the realized trajectory of globalization can diverge from the prior expectation that specialization will continuously reallocate economic activity toward mutually beneficial uses. The relevant political response need not therefore arise simply from import competition in disadvantaged sectors. It can arise from the perceived failure of globalization to preserve or replace activities in which the country expected its productive strengths to be rewarded.

This distinction motivates the paper's focus on *expectation mismatch*: political dissatisfaction can emerge when policymakers observe persistent losses in sectors understood as national strengths without corresponding gains in new advantage sectors. The economic model does not itself determine the political response. Rather, it establishes the economic conditions under which such a mismatch between expected and realized specialization can arise.